

## Chapter #2

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Q. Describe importance of formulating & implementing HRM Strategy.

### HRM Strategy:

○ A human resource management strategy is a set of human resource activities designed to gain a competitive advantage.

Large companies may have several different HRM strategies for managing different types of employees.

○ HRM strategy should be designed to ensure the company meets its business goals and gains a competitive advantage.

○ An effective HRM strategy helps the organization ensure that employees are focused on the most important strategic outcomes, such as controlling costs or ensuring continual innovation or making sure customers are always delighted!

○ Effective HRM strategies can improve firm performance in at least four ways:



So that they support business strategy  
By shaping employee behaviour  
substantially improving  
labour costs.

- By enhancing motivation & productivity.

- By affecting the organization's ability to attract & retain talent.

## Strategy formulation:

Strategy formulation refers to the process of determining the best course of action to achieve competitive advantage.

- It also includes a vision and mission, identifying an organization's external opportunities and threats, determining internal strengths & weaknesses, establishing long-term objectives, generating alternatives, strategies, & choosing particular strategies to pursue.

- Deciding what new business to enter.

What business to abandon,  
other to allocate resources  
• Whether to expand operations or diversify.

- Whether to enter international markets.

- Whether to merge or form a joint venture.

## Strategy implementation:

- Strategy implementation refers to putting the chosen strategic plans into action.

- It involves a firm to establish annual objectives, devise policies, motivate employees, and allocate resources so that formulated strategies can be executed.

- Often called the action stage.

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Describe how the external and internal environments can influence a company's HRM strategy.

- HRM strategies are influenced by an organization's external environment.

- The organization's internal environment also shapes HRM strategies and the development of integrated HRM system. Environment of HRM includes all those factors which have bearing on the functioning of HR department.

### External environment:

- Composed of those factors that affect a firm's human resources from outside the organization's boundary.
- The external environment encompasses local, national, and multinational conditions that confront an organization.

#### i) Economic Landscape:

- The economic landscape refers to the economic conditions in which firms compete.
- The economic landscape has the potential to greatly impact organizations, including their very survival.
- The nature of the economy and its evolution can

be measured through a number of indicators including interest rates, unemployment rates, inflation rates, consumer confidence, input, productivity measures, and so on.

- The "economic cycles" is used to describe the fluctuations in economic activity that occurs over long periods of time in developed market economies.

- Economic cycles have many consequences of managing human resources.

### Demographic landscape:

- The demographic landscape refers to characteristics of the people where the company does business.

These characteristics include the population's age, gender, ethnicity, income and education.

Demographic characteristics describe the nature of an organization's consumers, community, and most relevant



to an HRM context, an organization's labor market.

## The socio-cultural landscape:

- The socio-economic landscape refers to the attitudes and values of society.

- Attitudes and values of society can influence other people in the workforce can vary substantially across nations and there are also reflected in differences in national culture.

- Domestically, the attitudes & values of society can influence other aspects of the external environment including labor market demographics, economic conditions and the political legal landscape.

## Political landscape:

⇒ Political landscape covers the impact of political institutions on HRM practices. For example, democratic political system increases the expectations of

workers for their well being.

⇒ The total political environment is composed of three institutions:

- Legislature
- Executive
- Judiciary

## The labor force:

⇒ The labor force is a pool of individuals external to the firm from which the organization obtains its workers.

⇒ The capability of a firm's employees determines to a large extent how well an organization can perform its mission.

## Legal considerations:

⇒ Another significant external force affecting human resource management relates to federal, state, and local legislation and the many court decisions interpreting this legislation. In addition, many presidential executive orders have had a major impact on HRM.



## Unions:

⇒ Union is a group of employees who have joined together for the purpose of dealing collectively with their employers.

⇒ Although unions remain powerful force, union membership as a percentage of the non agricultural workforce slipped from 33 percent in 1955 to 9.5 percent today.

## Shareholders:

- o The owners of a corporation are concerned about shareholders.

- o Because shareholders have invested money in a firm, they may at times challenge programs considered by management to be beneficial to the organization.

## Customers:

- o Because sales are critical to the firm's survival, management has the task of ensuring that its employees practices do not antagonize the members of the market it serves.

## The external environment:

### Proactive versus reactive approach:

⇒ manager's approach changes in the external environment proactively or reactively.

### Proactive response:

⇒ Proactive responsiveness involves taking action in anticipation of environmental changes.

### Reactive response:

Reactive response involves simply reacting to environmental changes after they occur.

## The internal environment:

⇒ Factors that affect a firm's human resources from inside its boundaries are termed as internal environmental factors.

⇒ The primary internal factors include the firm's mission, policies, corporate culture, management style of upper managers, employees, the informal organization, other units of the organization and unions.



## Mission:

- ⇒ A mission statement defines a company's business and provides a clear view of what the company is trying to accomplish.
- ⇒ A mission statement is more specific than vision.
- ⇒ it provides more guidance for developing plans that can be implemented to fulfill the vision.
- ⇒ A company may have more than one mission statement.
- ⇒ Each organizational unit should clearly understand objectives that coincide with that mission.

## Vision:

- ⇒ A vision is top management's view of the kind of company it is trying to create.
- ⇒ A vision statement defines:
  - where we are?
  - where we want to go?

## Values:

Values are the strong enduring beliefs and tenets that

the company holds dear that help to define the company, and that differentiate it from other companies.

⇒ Value statement often defines how the employees are expected to behave toward each other, toward customers, toward suppliers and toward the community.

## Policies:

- ⇒ A predetermined guide established to provide direction in decision making.
- ⇒ Policies are not hard and fast rules, these are somewhat flexible requiring interpretation and judgment in their use.
- ⇒ They can exert significant influence on how managers accomplish the jobs.

## Employees

- ⇒ Employees differ in many ways including their capabilities, attitudes, personal goals, and personalities.
- ⇒ As a result, behaviors that a



managers finds effective with one worker may not be effective with another.

### Company culture:

- ⇒ The system of shared values, beliefs, and habits within an organization that interacts with the formal structure to produce behavioural norms.
- ⇒ It is the unique pattern of shared assumptions, values, and norms that shape the socialization activities, language, symbols, and ceremonies of people in the organization.

### Management style of upper managers:

- ⇒ Closely related to corporate culture is the way in which the attitudes and preferences of one's superiors affect how a job is done.
- ⇒ This situation deserves special emphasis here because of the problems that can result if the managerial style of upper-level managers differs from that of lower-level

managers.

### Technology:

- ⇒ Technology refers to the process of making and using tools and equipment plus the knowledge used in this process.
- ⇒ As technological changes occur, certain skills are no longer required.
- ⇒ The most recent technological revolution in computer technology has transformed.
- ⇒ How people work and how they are managed through robotics, information technologies, and human resource information systems.

### HRIS:

- ⇒ When computer technologies are used to gather, analyze, and distribute information about job applicants and employees, the resulting system is referred to as a human resource information system.



## e-HRM:

⇒ e-HRM, which refers to the use of information technologies for both conducting human resource management activities and for social networking among employees.

## Company subcultures:

⇒ A company subculture exists when assumptions, values and norms are shared by some but not all organizational members.

## Business Strategies:

⇒ A business strategy is a set of integrated and coordinated commitments and actions intended to achieve stated goals of a business or business unit.

⇒ Business strategies influence the types of employees who must be recruited to work at the company, the behaviours needed from those employees, the conditions

in which employees are expected to work and so on.

## 2. Define HR Triad.

HR professionals, line managers and employees working together to achieve common goals.

Responsibility for formulating and implementing HRM strategies rests with all members of the HR triad.

## 2. Describe Types of Company culture

|          | internal env                                                                                                      | external environment                                                                                                                         |
|----------|-------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| flexible | <b>Clan culture</b><br>value behaviour:<br>◦ Loyalty<br>◦ Tradition<br>◦ Self-management<br>◦ Personal commitment | <b>Entrepreneurial culture</b><br>◦ Taking risks<br>◦ Creativity<br>◦ Dynamism                                                               |
|          | <b>Bureaucratic culture</b><br>◦ Following rules<br>◦ Respect for hierarchy<br>◦ Formality<br>◦ Predictability    | <b>Market culture</b><br>◦ Goal achievement<br>◦ Less concern for personal relationship<br>◦ Suggesting how to improve financial performance |



## Q. Write note on HRM Strategies. & discuss the types of HRM strategies.

- Strategy: An organization's proposition for how to compete successfully and thereby survive and grow.

### HRM Strategy:

- HRM strategy is an integrated and coordinated set of HR activities designed to gain a competitive advantage.

- The integration and coordination of HR activities captures the notation of strategic alignment, which is a fundamental requirement of an effective HRM strategy.

### Strategic alignment:-

⇒ When an Organization's HRM system supports and facilitates the behaviours and competencies needed for organizational success, the HRM system and the needs of organization are in a state of strategic alignment.

- Achieving strategic alignment involves paying attention to both vertical alignment and horizontal alignment.

### Vertical alignment:

- Vertical alignment exists when the HRM strategies fit with all elements of the internal environment and all elements of the external environment.

### Horizontal alignment:-

- Horizontal alignment exists when all of the HR policies, practices, and processes comprising the HRM system are consistent with to each other and mutually reinforcing.

- Horizontal alignment sends a clear message to employees concerning how they should behave while at work.



## Business Strategy:

- Business strategy refers to the way in which a firm plans to achieve its objectives within a particular business.
- This strategy may focus on such things as how it competes against multinationals, including Unilever and Procter & Gamble.
- It answers "How are we going to compete for customers in this industry and market?".

## Corporate Strategy:

- Corporate derived from corporation which means registration.
- Corporate strategy covers an entire large corporation.
- Corporate strategy addresses issues related to following fundamental questions:
  - \* In what businesses will we compete?

\* How can we, as a corporate parent, add value to our various lines of business?

\* How can diversifying our business or entering a new industry help us compete in our old industry?

• How can company differentiate themselves from others?

• Business strategies describe how the company plans to deliver goods or services that customers see as different and in some way better than those offered by competitors.

• Some common ways companies can differentiate themselves are by providing goods and services that are:

- Higher quality
- Low cost
- Customer service
- Innovation



# Types of HRM Strategies

## ★ High Commitment HRM Strategy

- This HRM strategy enhances organizational performance by improving employee capabilities, motivation, and performance.
- High commitment HRM strategy empowers employees and motivates them to continuously improve the quality of products and services.

### Typical practices

- General job descriptions
- High skill requirements
- Competitive wages
- Extensive training focused on performance.
- Pay is linked closely to performance
- Generous benefits
- Self-managing teams
- High level of employee participation in decision making
- High job security for good performance

## ★ High Control HRM Strategy

- A business strategy intended to provide low-cost products and services often leads companies to choose the high control HRM strategy.
- This HRM strategy enhances organizational performance by improving employee efficiency, productivity, and compliance.

### Typical Practices

- Specific job descriptions
- Low skill requirements
- Limited training
- Low wages
- Pay is closely linked to performance
- Minimal benefits
- Intense supervision
- Low level of employee participation in decision making
- Low job security



## Customized HRM Strategies:

- A customized HRM strategy focuses on achieving very specific outcomes of most importance to a particular company, taking into account all elements of the internal and external environments.
- Customized HRM strategies are designed to balance multiple concerns. These include:
  - The need to perform ones current job well also imagining how it could be done better or eliminated.
  - The need for employees who are strongly committed to the company but also have strong connection to people in the external organization.
  - The need for employees who take personal responsibilities for doing their own jobs well while also being team players who willingly

make sacrifices in order to help others and achieve team goals.

- The need to hold employees accountable for fulfilling current responsibilities as explicitly prescribed by formal job descriptions as well as contributing to the organization's long term success by continually learning and adapting to prepare for uncertain future.

- Customized HRM strategies are appropriate for companies with clearly defined business strategies emphasizing differentiation.



# SWOT Analysis

⇒ SWOT stands for Strengths, weaknesses, opportunities, and threats.

⇒ Strengths and weaknesses are internal to your company - things that you have some control and can change.

Strengths: what are we doing good at?  
The firm's strength are its resources and capabilities that can be used as basis for developing a competitive advantage.

Examples:

- o Strong brand names
- o Good reputation
- o Exclusive access to high grade natural resources
- o your intellectual property
- o Location

Weaknesses: what do we lack? what can we improve on?

They are the areas where the business needs to improve to remain competitive:

- o A weak brand
- o High level of debts
- o inadequate supply
- o Lack of capital

Opportunities and threats are external things that are going on outside your company in the large market you can take advantage of opportunities and protect against threats, but you cannot change them.

These are favourable external factors that could give an organization a competitive advantage.

Examples

- o Tax reduction
- o Increase in product demand
- o Less competition

What can we do more of? what trend can we take advantage of?

Threats:

These are the factors that have the potential to harm an organization.

- o Rising costs for material
- o increasing competition
- o Tight labour supply

What's stopping us? what are your competitors doing?



## When should Swot analysis perform

- Swot analysis can be employ before commit to any sort of company action, Whether exploring new initiatives, revamping internal policies.

## HRM Strategy formulation:

⇒ Strategy formulation is the process of choosing the best course of action to achieve competitive advantage.

⇒ Strategy formulation includes developing a vision and mission, identifying an organization's external opportunities and threats, determining internal strengths and weaknesses, establishing long-term objectives, generating alternative strategies, and choosing particular strategies to pursue.

- Deciding what new businesses to enter
- what businesses to abandon
- How to allocate resources
- whether to expand operations or diversify

- whether to enter international markets
- whether to merge or form a joint venture

## Aligning HRM strategy formulation with the business strategy:-

- To achieve alignment, HR professionals are now usually involved in many aspects of their organization's business strategy formulation process, including:
  - HR professionals are involved in the development, alignment, and communication of business goals.
  - HR professionals work closely with senior management in formulating and implementing business strategies.
  - HR professionals create and implement HRM strategies to drive business results.



## Specifying Strategic Objectives:

- Business strategies describe in general terms how a company will compete in the market place.
- Strategic objectives translate these general statements into specific metrics that are relevant to specific functional areas, including, for example, marketing, finance, supply chain management, and human resource management.
- Strategic HR objectives state in quantitative or qualitative terms what is to be achieved with regard to the firm's human resources.
- The objectives should be specific and measurable, because the external and internal environments are somewhat dynamic, stated HR objectives should also be flexible and responsive to ongoing adjustments of the company strategic business objectives.

## Designing an Integrated HRM System to achieve strategic objectives:

- After strategic business objectives and strategic HR objectives have been established, specific means must be determined for how to achieve the objectives.
- Typically, strategic plans are developed for each unit of organization.
- HR plans can be thought of as blueprints for action, they specify who needs to do what, where and how. Timetables specify when each planned activity will be completed.

### HR metrics:

- HR metrics can be used to analyze and understand the relationship between the achievement of HR objectives and success in achieving specific business objectives.

### Types of HR metrics:



### Human Capital Spending metrics:-

- including total head count, number of full time employees, costs of third party employees, HR expense to operating expense ratio, cost per hire, training and developing spending

### Talent retention metrics:

- including voluntary and total turnover, turnover costs and absenteeism.

### Leadership bench strengths metrics:

- Including percentage of leadership positions with succession plans, percentage of leaderships internally filled, and employees rating of leadership quality.

### Leadership engagement metrics:

- including employee responses to annual engagement surveys and employee involvement in voluntary

activities such as making suggestions for how to improve work processes.

### HRM Strategy implementation:

- The process of putting formulated strategy into action.
- Strategy implementation almost always involves change.
- Strategic objectives evolve in response to a dynamic external environment, and implementation plans often change in response to feedback from customers and employees.
- Because change increases uncertainty and requires learning what work best, few planned organizational change efforts of any kind proceed smoothly.
- Most run into some amount of resistance.
- Responsibility for minimizing employee resistance to change and managing employee resistance when



it occurs, are among the most challenging responsibilities of HR professionals.

⇒ The various forms of resistance include:

- immediate criticism
- malicious compliance
- sabotage
- insincere agreement
- Deflection

### Reasons for resistances-

⇒ The reasons for resistance to change include:

- fear
- misunderstanding
- Cynicism

⇒ Some people resist change because they fear that positive aspects of their job will be threatened.

⇒ This includes the desirable aspect of their job, pay and benefits, coworkers relationship and job security.

### Overcoming resistance:

- Organizations can overcome resistance to change by involving employees, establishing accountability, and showing respect in difficult times.
- An important role of HR Professionals when creating and implementing a plan of action is finding ways to involve people throughout the organization.

### Involving employees:

- Employee should be involved when planning change, but often even experienced managers forget this principle.
- Task forces
- focus groups
- Seminars
- Hotlines
- informal conversations

⇒ Use just a few of the ways managers can involve employees and other stakeholders in planning change efforts.



## Establishing accountability:

- When specifying objectives, it is important to state not only what is to be achieved, but also who is responsible for making the needed changes.

- If the change is a success, will only managers reap the rewards, if things don't go well, will the lower-level employees be the ones who suffer.

- Holding people accountable for achieving the objectives of a change can have a variety of implications for human resource management plans.

- Typically, accountability translates into new approaches to awarding incentive pay and bonuses.

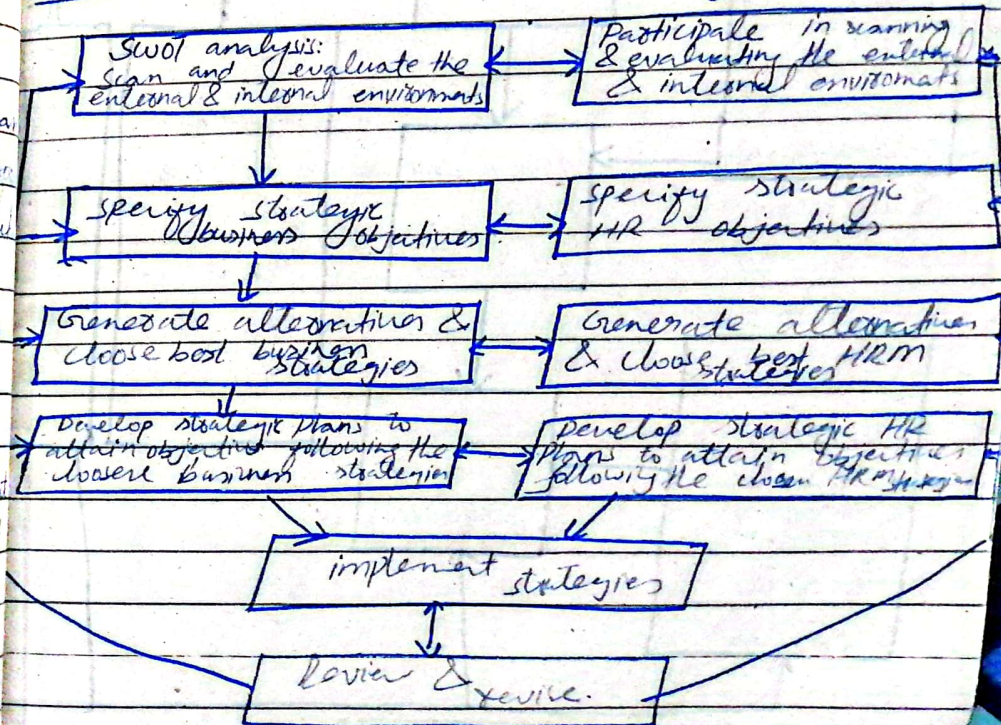
## Review & Revise:

- When a Company offers a product to the external marketplace, it almost certainly reviews and evaluates the success of the product using objective indicators.

- After formulation and during implementation, the success of new strategies should be reviewed and revised when necessary.

- A Human resource information system facilitates evaluation by allowing for the thorough, rapid, and frequent collection and dissemination of data.

## Process of formulating a company Business & HRM Strategies:





Define virtual workforce:

Virtual workforce perform their job anywhere and anytime, often on an as-needed basis.

HRM strategies in the context of external and internal environments:

